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Pricing Strategies

ECONOMIC VALUE TO THE CONSUMER (EVC)

Objectives:
Conceptual:
- Understand components of EVC
- Understand link between EVC and a demand curve
- Understand "heterogeneity" across consumers' willingness-to-pay as differences in EVC

Quantitative:
- Ability to conduct an EVC analysis
    - i.e. quantify consumer willingness-to-pay
- Ability to decompose willingness-to-pay across the *attributes* of a product/service

Introduction
Many firms appreciate the importance of aligning pricing with the value created by their products and/or services. The term *value pricing* has been part of the marketer's lexicon since at least the late 1980s. In theory, *value pricing* refers to the trade-off between offering consumers more value while trying to raise profits. Surprisingly, the pricing rules-of-thumb used in practice still typically fail to account for value. These rules are usually based on simplicity and the ability to achieve short-term managerial goals such as *covering costs* and *protecting market share*. The opportunity cost of this simplicity is potential mispricing, leading to price levels that are *sub-optimal* in the sense that they sacrifice potential profits. Currently, many firms consider the development of better pricing practices as a major strategic goal. At the same time, most firms perceive the development of such practices as a major strategic challenge.

In this short note, we summarize a conceptual framework to understand and measure value: the Economic Value to the Consumer (EVC). We show the microeconomic foundations for EVC. We then show how an understanding of the components of EVC can empower a manager to implement genuine *value pricing* decisions. In the era of *Big Data,* EVC also provides a framework for developing analytics that can leverage consumer data to measure and assess a product's main sources of value.

Microeconomics and Consumers
EVC derives from microeconomics. The advantage of the microeconomic approach is that it provides a parsimonious model of consumer choice. We will also show the relationship between EVC and the demand curve.

Suppose we are a firm selling a single product in a consumer market. In economics, a consumer is assumed to receive a benefit (utility) from the consumption of a good. Let's use V^{us} to denote the benefit a consumer obtains from each unit of our good that she consumes. Since consumers have different tastes and needs, it is unlikely that they all obtain an identical benefit from our product. So we will use the subscript h to denote a given consumer. That is, a consumer h obtains benefit V_h^{us} from consuming a unit of our good.

As Nobel Laureate and Chicago economist Milton Friedman used to like to say: "There ain't no such thing as a free lunch." Due to budget constraints, consumers must trade off the benefits of the product against the costs of acquiring it. The main acquisition cost is the price. Let's use p^{us} to denote the price of our product. However, consumers may face various additional costs to acquire our good. These costs could involve the hassle of searching for us and becoming aware of our offering, the hassle of traveling to our premises, the waiting time for the transaction to complete, and even the anticipated efforts to set-up and maintain our offering after the purchase is completed. The key is to include all the factors that are considered at the time of the purchase decision. Let's use C_h^{us} to denote all of consumer h's non-price acquisition costs for our product.

Having gone through the costs and benefits of our product, we now denote consumer h's net benefits from our product as:

$$B_h^{us} = V_h^{us} - C_h^{us} - p^{us}.$$

In practice, firms seldom monopolize a consumer market. Competitors with differentiated offerings vie to win the consumer's business. As a result, the consumer may be choosing between buying our product versus buying a competitor's. For example, an industrial buyer may decide between two suppliers. In some instances, the alternative may consists of "not buying at all." In many consumer markets, the choice may consist of buying a product versus not buying anything at all.

When assessing the value of our product, we refer to the consumer's next-best alternative as the *reference product*. Let's use B_h^{them} to denote the net benefits to consumer h from choosing the reference product:

$$B_h^{them} = V_h^{them} - C_h^{them} - p^{them}.$$

In practice, there may be many alternatives available. The *reference product* is the best of those various alternatives. Note that we have again subscripted the benefits and costs by h since the differing needs and tastes could mean that different consumers have different reference products. For instance, hard-core brand loyals of Coca Cola may only consider Coke or non-purchase. Mainstream soda consumers may consider Pepsi as the best alternative to Coke, and budget-conscious consumers may consider the store brand as the best alternative to Coke. In some cases, the best alternative may consist of not buying anything. In some cases, not buying may capture a consumer's forward-looking behavior. For instance, a consumer may delay adoption in a high-technology market if she anticipates a cheaper or better alternative in the future. In this case, the net benefits would need to reflect the consumer's expected benefits and costs of the future choice.

Consumer Choice and Relative Benefits

How do we determine whether a consumer will ultimately buy our product or chose the reference product? In microeconomics, we assume that consumers make choices to maximize utility. Using our framework from the previous section, this means that consumers chose the alternative that delivers the highest net benefits. Given the current benefits and costs of our product and the reference product, respectively, a consumer h will choose our product versus the next best alternative if:

$$B_h^{us} > B_h^{them}.$$

If we substitute in our framework from the previous section, consumer h will choose our product if:

$$V_h^{us} - C_h^{us} - p^{us} > V_h^{them} - C_h^{them} - p^{them}.$$

Now let's re-arrange terms to simplify the expression:

$$\underbrace{(V_h^{us} - C_h^{us}) - \left(V_h^{them} - C_h^{them}\right)}_{\boxed{\text{Differentiation Value}}} + \underbrace{p^{them}}_{\boxed{\text{Reference Value}}} > p^{us}.$$

This expression reveals our *pricing power* when selling to consumer h. The left-hand side represents the highest price we could ever charge while still selling our product to consumer h. In other words, the left-hand side represents consumer $h's$ *maximum-willingness-to-pay* (hereafter WTP) for our product, given the net benefits of the reference product. The business press tends to use the term willingness-to-pay loosely. The expression above provides the formal definition of WTP.

There are two key components to a consumer's WTP. The first component is the *reference value*. This is the price of the next best alternative, typically the competitor's price. The second component is the *differentiation value*. This is the incremental benefits of our product relative to the next best alternative. We can immediately see several implications of this expression. First, the consumer's WTP is not simply the price of the next best alternative. Rather, the consumer's WTP is adjusted for the differentiating benefits of our product. In a world of pure commodities, only the competitor's price would matter. But, in the real world of differentiated products (i.e. a world with marketing!), consumers would happily pay more for our offering if they perceive it as superior. Be careful, they would be willing to pay less if they perceive our offering as inferior.

Another important implication of the expression above is that consumers base their choices on the <u>relative</u> benefits and not on the absolute benefits of products. As the benefits of the reference product improve, the differentiation value of our product falls and our product becomes relatively less attractive. Thus, the value created by our product is entirely relative to the set of alternatives currently available to consumers. When the Dodge Caravan launched in the early 1980s, its convenient cup holder next to the driver's seat was regarded as a highly desirable and unique product characteristic. Over time, however, the cup holder has become a mainstream attribute in just about any automobile, meaning that it now contributes relatively little to WTP since it does little to differentiate between cars.

EVC

The overall economic value to the consumer, or EVC, is simply the sum of the reference value and the differentiation value:

$$\boxed{EVC = Diff.Value + Ref.Value}$$

This is just the maximum WTP we saw in the previous section. To summarize, EVC measures a consumer's maximum-willingness-to-pay for our product, given the current net benefits of the reference product. EVC is a relative concept since improvements in the net benefits of the reference product will ultimately reduce WTP for our product. While EVC does not dictate the price we charge per se, it provides a measure of our *pricing power* since it indicates the highest price we could potentially charge to a given consumer.

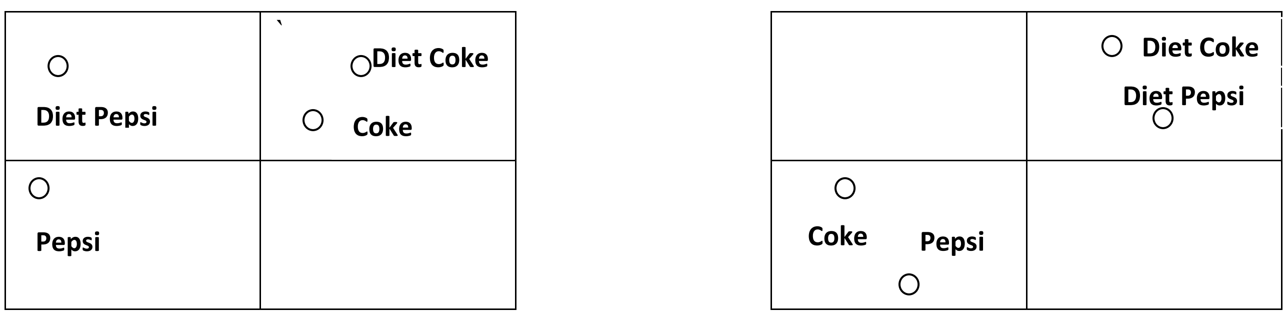
An obvious limitation of EVC is that it derives from the assumptions underlying our microeconomic framework. We have assumed consumers are objective, meaning they understand all the objective net benefits of our product and those of the reference product. In practice, a consumer may not be fully informed about all the net benefits. If we are selling an *experience good*, the objective benefit may be hard for a consumer to evaluate until after at least one initial trial. A prospective buyer might therefore have a lower EVC than a repeat buyer. In consumer psychology, we also know that consumer perceptions are vulnerable to context. In the classic "beer on the beach" experiments, each subject is told to imagine she is sitting on a hot beach and that a friend has offered to buy the former a bottle of her favorite beer. The subject needs to indicate her maximum WTP for the beer and the friend will buy it as long it does not exceed the price. Even though the consumption of the beer will be on the beach regardless of purchase context, subjects report a much higher WTP when the friend says the bottle will be purchased in a nearby hotel versus in a nearby convenience store. This type of psychological context effect is not easily incorporated into the EVC framework.

The EVC framework also assumes that each consumer follows an objective decision rule, picking the alternative with the highest net benefits. In practice, consumers may not use such objective rules. For instance, psychological *sticker shock* may reduce the likelihood that a consumer buys a highly innovative new product with a premium price. Even when the much higher differentiation value more than justifies the high price, a consumer may psychologically struggle to come to grips with a much higher price point. This is a common problem in the pharmaceuticals industry where new drugs often compete with lower-quality incumbent generic drugs. For this reason, large pharmaceuticals companies bring new drugs to market with massive, blockbuster marketing campaigns to build awareness and enthusiasm to overcome the *sticker shock*. In practice, premium pricing requires premium marketing: you need to "sell the premium price." If you understand your EVC, you will find it easier to communicate to the consumer why she should buy your premium-priced offering. In business-to-business settings, we may need to be careful to distinguish between the buyer and the final end user of a product. Suppose that a company delegates the replenishment of its office supplies to a shipping manager who is compensated based on her ability to contain costs and maintain a stable budget. This means the buyer will be more focused on the price than the net benefits of the product, even though the product in question may create a lot of economic value for the company itself.

Perceptual Maps and EVC

In marketing, perceptual maps may help one identify the appropriate reference value. Consider the following two perceptual maps.

Hypothetical Perceptual Maps for Two Consumer Segments



In the left panel, consumers view Diet Coke and Coke as close substitutes. In the right panel, consumers view Diet Coke and Diet Pepsi as close substitutes. Perceptual maps might be used to identify the closest substitute for each product. Such maps can be derived using psychographic analysis or cross-price elasticity analysis.

EVC and the *Value Proposition*

The EVC framework provides a representation of the *value proposition.* EVC connects the consumer's WTP to the underlying attributes of the product. That is, EVC provides a roadmap for how the attributes of our product create economic value to a consumer. The EVC approach forces the marketing team to consider the sources of value creation at a more granular level. The marketing manager cannot simply claim "Our product is superior." EVC allows us to decompose this superiority into its underlying sources: the specific attributes and specific consumer segments. EVC also helps us plan future product innovations strategically, especially if the reference product consists of future products that could be brought to market, such as knock-offs and imitations. The sustainability of the value proposition can be assessed by decomposing WTP and determining the relative contribution of exclusive versus non-exclusive attributes.

In the current era of *Big Data,* many of the product's costs and benefits can be quantified. Techniques like regression analysis of transaction data and conjoint surveys can be used to measure EVC, even in product markets with highly intangible sources of differentiation value (e.g. brand, reputation etc). In digital selling environments, A-B testing can be used to obtain real-time evaluations of consumers and the impact of different attributes on their WTP. Even when data are unavailable, a qualitative assessment of EVC can be extremely useful. Managerial judgment and experience can be useful in identifying which attributes are likely contributing the most to economic value. With Big Data, managers often feel overwhelmed with information. A qualitative analysis of EVC can help pinpoint the "right questions to ask" and the right data sources to seek.

EVC and Segmentation

Recall that our EVC framework recognized that WTP can differ across consumers. Different tastes and needs can lead to different perceived net benefits and also to different reference products.

In practice, segmentation is typically used to group together consumers with similar demographic characteristics. For pricing, the most compelling criterion for segmentation is arguably to group together consumers with similar buying behavior. It is unclear whether demographics or other traditional segmentation criteria (e.g. attitudinal surveys) will capture these similarities in buying behavior. There is ample evidence that demographics are often poor predictors of purchase behavior for branded consumer goods[1]. EVC provides us with a framework to evaluate different segmentation criteria. For instance, the EVC framework implies that consumers evaluate a product relative to the reference product, which could be another product or the non-purchase choice. Suppose we are analyzing a branded over-the counter headache medicine sold in grocery stores and pharmacies. Suppose also that our segment of interest is "households with high income and education." Even though "households with high-income and education" may have similar tastes and needs for headache medicine, they may have different reference products. Recent research[2] finds that pharmacists and physicians are much more likely to buy private label headache medicines for personal consumption than households with comparable income and years of education but who work in non-healthcare professions. Whereas many high-income households would use another branded headache medicine as the reference product, a healthcare professionals is much more likely to use private labels as the reference product.

How does this impact segmentation? One possibility would be to create sub-segments based on the combination of demographic traits and the reference product. For instance, we might want to

[1] S. J. Hoch, B. Kim, A. L. Montgomery and P. E. Rossi (1995), "Determinants of Store-Level Price Elasticity," *Journal of Marketing Research*, 32(1), 17-29.

[2] B. Bronnenberg, J.P. Dubé, M. Gentzkow and J. Shapiro (2014), "Do Pharmacists buy Bayer? Informed Shoppers and the Brand Premium," NBER Working Paper No. 20295.

define a segment as “households with high income and education who buy private labels.” The relative benefits of our branded headache medicine would now be assessed relative to a private label. EVC forces us to challenge traditional demographic segmentation. In the era of *Big Data*, there is no need to rely solely on demographics and other traditional measures. We can use richer sources of information, such as historic purchase behavior and other lifestyle information to create more meaningful segments.

Link to Demand

The demand curve traces out the total consumer buying behavior for a given product at different price points. Every graduate of an introductory course in marketing or microeconomics knows that demand curves slope downward. Thus, as we increase our price, we sell fewer units. But why is that the case? One explanation for the downward-sloping demand is that consumers have different WTP for our product. The amount we sell at a given price level reflects the set of consumers with a WTP high enough to justify that price. As we lower our price, additional sales reflect consumers with a lower WTP who would not have purchased otherwise. Thus, the downward-sloping shape of demand reflects, in part, the heterogeneity in WTP across our consumers.

Consider a Bang & Olufsen 50” flat panel LED HDTV, a premium-priced model. Some consumers are technophiles who like to buy cutting-edge entertainment technology. Technophiles will happily pay a premium for a state-of-the-art TV, but why? A technophile will evaluate a premium LED TV relative to other premium flat panel TVs. A technophile may also derive very high benefits from the features on a premium TV, such as contrast ratio, color, viewing angle, and motion. Some of the non-price costs of a TV include the actual costs of peripherals (e.g. additional cables and parts) and the intangible hassle/complexity costs from figuring out how to set up and use the TV. A mainstream consumer may not value these dimensions of quality as highly and, as a result, may evaluate the TV relative to low-end models.

Suppose the technophile’s reference product is a $1,200 Samsung LED TV, whereas the mainstream consumer’s reference product is a $650 RCA LED TV. Let’s denote our technophile with subscript T, and our mainstream with the subscript M. The technophile will purchase the Bang & Olufsen if it maximizes her net benefit:

$$V_T^{B\&O} - C_T^{B\&O} - p^{B\&O} > V_T^{Samsung} - C_T^{Samsung} - \$1,200$$

Recall from above, we can re-arrange terms to derive Bang & Olufsen’s pricing power for the technophile:

$$\left(V_T^{B\&O} - C_T^{B\&O}\right) - \left(V_T^{Samsung} - C_T^{Samsung}\right) + \$1,200 \ > \ p_T^{B\&O}$$

This means that the technophile consumer’s WTP for the Bang & Olufsen is:

$$\boxed{(\Delta \mathrm{V}_\mathrm{T} - \Delta C_T) + \$1,200 = WTP_T^{B\&O}}$$

where $(\Delta V_T - \Delta C_T)$ is the *differentiation value*, and \$1,200 is the *reference value*. Thus, the technophile's WTP for the Bang & Olufsen TV is \$1,200 plus the differentiation value.

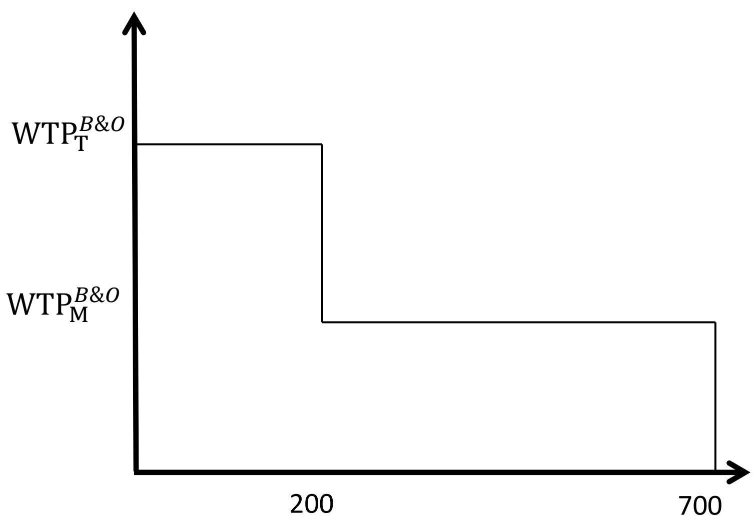
In contrast, the mainstream consumer's WTP is:

$$(\Delta \mathrm{V_M} - \Delta C_M) + \$650 = WTP_M^{B\&O}$$

Even though the Bang & Olufsen TV has considerably better picture quality than the \$650 TV, the mainstream consumer may not value the image quality very much in her choice. So we would expect $\Delta \mathrm{V_M}$ to be positive, but not very large. Without more data or analysis, we cannot determine whether $\Delta \mathrm{V_M}$ or $\Delta \mathrm{V_T}$ is larger. Nevertheless, we probably expect that technophiles are willing to pay more than mainstream, i.e. $\mathrm{WTP_T^{B\&O}} > WTP_M^{B\&O}$.

Once we have data to quantify WTP, we can use these measures to derive the demand curve. Suppose the market consists of 200 technophiles and 500 mainstream consumers. The demand curve for the Bang & Olufsen TV is as follows:

EVC Demand Curve for Bang & Olufsen TV



intuitively, this is why demand curve slopes downwards. continue to construct the demand curve for different consumer market segments, and it becomes a downward sloping line.

By using the EVC derivation, we can see how a competitor's price influences demand. A change in a competitor's price will change the reference value and, hence, the WTP. This means that a change in a competitor's price will shift the demand curve for Bang & Olufsen.

EVC Examples

EVC Example 1: *Spaghetti Sauce*

Suppose the consumer derives a $3.00 absolute benefit from consuming Ragu Spaghetti Sauce and a $3.50 absolute benefit from consuming Prego Spaghetti Sauce. The consumer is willing to pay more for Prego because it has attributes that provide a greater benefit (e.g. taste, consistency, etc.). The difference in benefits is $0.50. If the current posted price for Ragu is $2.00, what is the most that the consumer would be willing to pay for Prego?

Answer: Since Prego provides a relative benefit of $0.50, the most the consumer would be willing to pay for Prego is $2.50.

Now let's use EVC to derive the answer:

Reference Value:	$2.00	Competitor's Price
Differentiation Value	<u>$0.50</u>	Difference in Value
WTP	$2.50	

$2.50 represents the maximum WTP for Prego. If the price is greater than $2.50, the consumer will buy Ragu. If the price is less than $2.50, the consumer will buy Prego. At $2.50, the consumer is exactly **indifferent** between Ragu and Prego. Notice that our EVC analysis never looks at the absolute benefits associated with Ragu and Prego. In other words, our EVC analysis would not change if the absolute benefits had been $5.00 and $5.50 for Ragu and Prego respectively. Only the difference in perceived benefits is relevant, i.e. $0.50.

EVC Example 2: ***Power Supply Choice***

The following example is based on an analysis conducted for a regional power firm, Regional Gas & Electric (RG&E). RG&E offers a full product line of high reliability services to commercial customers. Marketing research identified three sources of differentiation for RG&E among its commercial customers. First, RG&E commercial customers use less energy because of increased training and customer audits. RG&E works with their customers to help them lower their total consumption. Second, commercial customers don't need to search since RG&E offers a full line of products. Third, RG&E is far more reliable than competitors. This leads to fewer interruptions in manufacturing and production, offering both an indirect and a direct benefit. The direct benefit is that the product line is constantly up and running. The indirect benefit is that downstream customer retention increases since customers are more satisfied with a reliable, consistent supply of products from the manufacturer.

We can quantify these benefits as follows:

Reference Value:		
Competitor's Rate:	0.1 $/kWh	
Annual Electric Usage:	10,000 kWh	
Total Reference Value		$1,000

	Differentiation Value	
1)	Value of RG&E Services	
	200 kWh saved by audits * 0.1 kWh $20	$ 20
	100 kWh saved due to customer training * 0.1 kWh $10	$ 10
2)	Value of Full Product Line	
	20 hours time saved by the one-stop shopping * $10/hr $200	$ 200
3)	Value of Superior Reliability	
	20 hours of power interruption * $10 profit per hour $200	$ 200
	10 defected customers * $30 profit per customer $300	$ 300
	Total Value to the Customer	**$1,730**

This example illustrates how EVC might be applied to a single customer segment - commercial users. Breaking down the value added, or *differentiation value*, into components gives a clearer picture of the sources of product value. The EVC analysis helps point a firm towards the more critical aspects of its pricing strategy. In the above analysis, the relative value of reduced energy consumption due to RG&E services is small in comparison to the benefits commercial customers might receive from improved reliability or even lower search costs.

An initial analysis, such as this one, might place an upper bound on pricing for RG&E. Based on this example, RG&E would never charge more than a 73% premium over the competition, or 0.173$ per kWh. Naturally, more work is needed to understand the customer's perspective. Do customer's really value the one-stop shopping concept of our full product line? Do customer's really value the superior reliability? But the EVC analysis helps the marketing team identify the right strategic questions to ask and points towards the most fruitful areas for additional data collection and analysis?

Example 3: Optical Distortions

Optimal Distortions, Inc. (HBS Case) has developed a unique product for chicken farmers. Currently, chicken farmers de-beak chickens to prevent the chickens from injuring one-another. ODI has developed a contact lens for chickens that blurs the chicken's vision and makes it difficult for the chickens to peck one-another. The contact lens also reduces stress on the chickens relative to de-beaking and reduces the amount of feed wasted. The economic benefits to farmers from ODI contact lens vs. de-beaking can be quantified in three categories:

- reduced chicken (hen) mortality
- savings on egg-laying trauma
- savings on feed

Two additional costs that are not as easy to quantify are the financial risk of this new product and the social risk. We will focus on the three issues we can most easily quantify and then address these remaining issues.

A. <u>Savings on bird mortality</u>:
(mortality reduced from about 9 % for debeaking to about 4.5 % for contact lens)

Purchase cost per hens: $ 2.40

@ 9 % mortality, effective cost/hen: $ 2.40/0.91 = $ 2.637

@ 4.5 % mortality, effective cost/hen: $ 2.40/0.955 = $ 2.513

⇨ Savings/hen per year = $ 0.124

B. <u>Savings on egg-laying trauma</u>:

Loss of egg due to trauma: 1 egg

Price of egg: $ 0.53/dozen

⇨ Savings due to trauma = $ 0.53 × 1/12 = 4.42 ¢

C. <u>Savings on feed</u>:
ODI lenses reduce the depth of feed by *at least* 3/8" (probably to a depth of 1"). A farmer with 20,000 bird flock could save 156 pounds of feed per day if the depth of feed reduced from 2" to 1". The Cost of feed: $ 158 per ton. (1 ton = 2000 lbs.)

⇨ Savings @ 3/8" depth reduction

$$= 156\times\frac{3}{8}\times\frac{1}{20,000}\times\frac{\$158}{2,000}\times 365 = 8.43 \text{ ¢ per hen per year}$$

⇨ Savings @ 1/2" depth reduction

$$= 156\times\frac{1}{2}\times\frac{1}{20,000}\times\frac{\$158}{2,000}\times 365 = 11.25 \text{ ¢ per hen per year}$$

⇨ Savings @ 1" depth reduction = 22.49 ¢ per hen per year

The labor cost of each alternative is roughly equal. Lenses can be inserted at a rate of 225 hens per hour and de-beaking is done at a rate of 220 hens per hour. Other than labor, there are no marginal costs associated with de-beaking. How much would a farmer, aware of all the potential benefits of the ODI contact lens, be willing to pay?

$$U_{ODI} - \textit{insertion cost} - P_{ODI} \geq U_{Debeaking} - \textit{cost of debeaking}$$

Since the labor costs for contact lens insertion and debeaking are almost the same, we must have:

$$P_{ODI} \leq (U_{ODI} - U_{Debeaking})$$

The Differentiation Value of an ODI contact lens equals the incremental benefit a consumer derives from ODI contact lens over de-beaking.

Mortality Eggs Feed Total

12.4¢ + 4.42 ¢ + 11.25 ¢ = 28.07 ¢ per pair of lens

We summarize these three factors, the financial risk, and the social risk in the following figure.

Economic Value of ODI Contact Lens (per pair)

Positive Differentiation Value	Added Value to Farmer $0.281	Financial Risk ?? Social Risk ?? Cost of lens Insertion - $0.03	Negative Differentiation Value
Reference Value	Cost of Substitute $0.03	Total Economic Value $0.281	

One can safely assume that the financial risk of the ODI lens is negative. One would want to acquire more information about the likelihood of this product failing/succeeding. New products fail for a multitude of reasons, such as poor product performance, competitive entry, or poor marketing strategy. Even superior products fail. In the video cassette market, JVC VHS technology was inferior to Sony Betamax but JVC had a superior marketing strategy. The financial risk will reduce the total willingness-to-pay for this product.

Assessing the relative social risk of placing a contact lens in a chicken is difficult. The contact lens works by blurring the chicken's vision while the alternative is to remove part of the chicken's beak. The key factor to keep in mind is that one needs to assess the relative merits/costs of this social risk. More information is needed to determine the importance of this issue to chicken farmers.

Keep in mind that $0.281 is the maximum price ODI could charge per lens assuming no financial risk and no social risk. Since the financial risk is negative and there may be some social risk as well, ODI needs to discount this price even further. The maximum price from EVC combined with marginal cost data provides ODI management with a range of possible prices for this new product. ODI management can use this range of prices to develop financial scenarios to assess the profitability of this new product. For example, one might calculate a breakeven sales volume at various price levels.

Summary of Steps to EVC

1) Identify consumer segments

   Watch out for demographic segmentation. For pricing we are interested in observable characteristics that are correlated with WTP.

2) Identify the next best alternative for each segment, i.e. the *reference product.*

   Sometimes the next best alternative is “not purchase.”
   Be forward looking. Sometimes non-purchase today reflects a consumer delaying purchase in anticipation of better products/prices in the future.

3) Identify key dimensions that influence the purchase decision and differentiate the products, i.e. *the differentiation value*.

4) Measure relative benefits along these dimensions

   Quantify relative and not absolute benefits.